

9708/12/F/M/16

1-A:

If an individual chooses to travel by car rather than bus or train, he will incur costs such as: car parking charges, petrol, and car wear and tear costs, **which will be his “opportunity cost”**

The total of these particulars is “7”

$$(4+2+1) = 7$$

The decision of not travelling by bus or train means that “bus fare” and “train fare” will not be his opportunity cost. The sum of these fares is $(2+3)=5$, and the opportunity cost will be “7-5” that is “2”

2-A:

A – Because of the existence of unlimited wants relative to limited resources, there is an existence of scarcity, as a result of which “choices” have to be made, which result in an opportunity cost. This is why, the existence of opportunity cost confirms that scarcity exists. This is why, this becomes correct.

B- An increase in demand for a product indicates that consumers desire more of it. While this may lead to shortage for the product and potentially higher prices, it does not directly confirm the existence of scarcity. Scarcity refers to the condition where resources are limited relative to human wants, and all goods and services cannot be produced in unlimited quantities to satisfy everyone's desires. This is why, this becomes incorrect.

C- Government setting a minimum price for a product would result in a surplus of product in the market, making this incorrect.

D- A decrease in the supply of a product may create shortages and potentially drive up prices, but it does not directly prove the existence of scarcity. Scarcity represents **“the basic economic problem”** that recognizes the inherent limitation of resources compared to unlimited wants.

3-D:

A: Based on the production possibility curve, we can not deduce whether coconuts and fish are “perfect complements”. To identify complements, we need information about income elasticity of demand.

B: Based on the production possibility curve, we cannot deduce whether coconuts and fish are “perfect substitutes”, this is because, production possibility curve shows the output combinations of two types of goods that can be produced in an economy using existing resources. To identify “perfect substitutes”, we need information about income elasticity of demand.

C: We do not know if the inhabitants consume more coconut than fish, since we are not aware of the current combination of both these goods produced by an economy.

D: When the opportunity cost of a good remains constant as output of the good increases, it is represented as a PPC curve that is a straight line. With an extra output of fish produced every time, the

economy will have to forego an equal output of coconut.



4-B:

Hospitals represent healthcare, which is a **merit good** that is a type of **private good** as due to scarcity of the facilities, an allocative mechanism known as the **price mechanism** will be used in resource allocation, and also, prices can be attached to healthcare.

-Radio broadcasts represent **public good** as the broadcasting is non-rival and non-excludable. The broadcasting can be heard by many people at the same time without reducing the chance of others. Also, the broadcast can be consumed by many without excluding others. Hence, radio-broadcasting is a complete public good.

- Notices by the roadside posted by the government on how to prevent the disease from spreading represent **public goods** as they are non-rivalrous that is they can be seen by many people at the same time without reducing the chance for others, and also, they exhibit characteristics of non-excludability as the access to notices cannot be restricted based on people's ability to pay

This is why, option B is correct.

5-C:

a) Consumers spending a greater proportion of their income on the good reflects upon the fact that the particular good has an elastic demand, and in such a case, a rise in price will bring about a contraction in quantity demanded and that too by a relatively higher percentage.

b) Complements are jointly demanded goods that are used along with each other; the demand for one good is interconnected to one another. There is a negative relationship between price of one good and the quantity of another in case of complements. If the price of the good increases and also the complementary goods have all become expensive, there will be a fall in the quantity that is demanded.

c) When high prices are reflective of a superior quality, and when impression of 'value for money' is given to customers, there may be a greater quantity demanded despite a rise in the price of the good, therefore C is the answer.

d) Substitutes are alternatives, options available in a competitive market that are used in place of each other. An increase in the price of a substitute, for example: coke representing that substitute goods have become more expensive, will increase the demand for the good that is Pepsi, since there is a positive relationship between price of one good, and demand of another in case of substitutes. **If the**

substitute goods have also become expensive in a time when the price of the good has increased, the demand will increase for the good which is less expensive.

6-A:

A -Inferior goods are of a relatively lower quality, and they are relatively cheaper as well, for example: public transport. There is a negative relationship between incomes and demand of inferior goods. It is a decrease in income, that causes an increase in demand or a rightward shift in the demand curve of inferior goods, therefore making 'a' the answer.

B -A decrease in income tax increases the disposable income of consumers, which cannot cause a rightward shift in the demand curve for inferior goods. This will instead cause a fall in the demand for the inferior good.

C- A decrease in the price of substitutes, can cause a decrease in demand for the good, instead of increasing it, this is because there is a positive relationship between the price of one good and the qty of another in case of substitutes.

D -A decrease in the price of a good, causes an extension in quantity demanded according to the law of demand, rather than affecting the demand for it

7-C:

The solution below shows why the value of cross elasticity of demand between car travel and bus travel is +0.02. This answer is shown in option C.

$$\begin{aligned} XED &= \frac{\% \text{ change in QD of car}}{\% \text{ change in price of bus}} \\ \Rightarrow \frac{-1\%}{-50\%} &\Rightarrow +0.02 \end{aligned}$$

8-C:

The rectangular hyperbola demonstrates unitary-elastic demand curve. In this case, a percentage change in price brings an equal percentage change in quantity demanded, and therefore the total revenue or expenditure is unchanged.

A-The graph shows a unitary-elastic demand curve, which does not provide any information about supply and quantity supplied. Therefore, we cannot draw any conclusion of effects of changes in quantity supplied on Total Revenue. We are already aware that in the case of unitary elastic demand curve, the Total Revenue always remains unchanged.

B-The price elasticity of demand decreases from elastic to inelastic as we move down the **linear demand curve**, this is not the case of unitary elastic demand curve, because in that case the value of PED is =1 throughout the length of the demand curve.

C-No matter how many extra units are sold, the Total Revenue remains unchanged, therefore this option is correct.

D-Even when price falls, the Total expenditure would remain unchanged since there will be an extension in quantity demanded by the same percentage.

9-D:

Price elasticity of supply measures the responsiveness of a percentage change in quantity supplied to a percentage change in price.

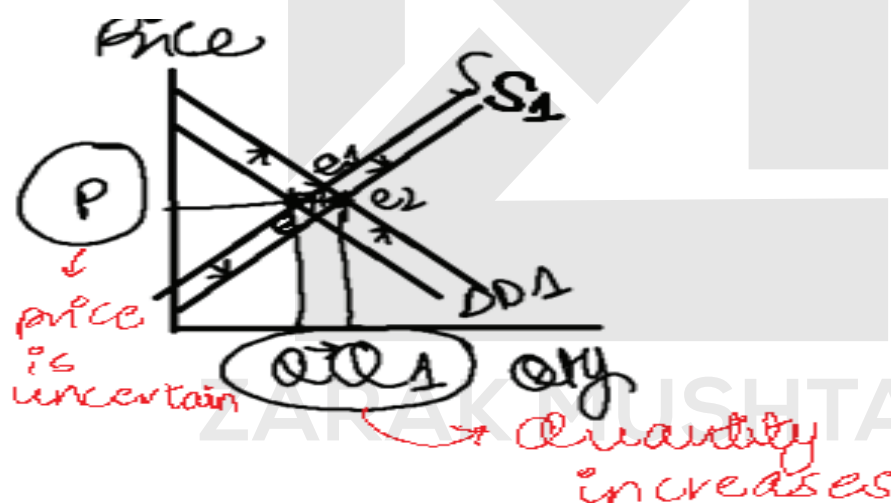
A-It is not the change in quantity supplied when the price changes.

B-It is not the change in quantity supplied when demand changes.

C-It is not the comparison of a percentage change in supply to a percentage change in demand.

D-It is the comparison of a percentage or proportionate change in supply to the proportionate change in price, this is why this is correct.

10-C:



A- An increase in the demand of tablets and an increase in its supply as a result of a fall in cost of production causes the effect on equilibrium price to be uncertain , and the quantity to increase .It does not cause a fall in price and the quantity to be uncertain.

B- The price does not rise, neither does the quantity increase.

C- The price is uncertain and qty increases therefore c is the answer

D- The price is uncertain but the quantity is not certain

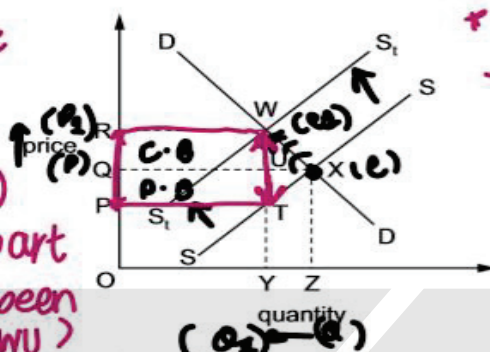
11-B:

- 11 A specific tax is placed upon each bottle of perfume sold. In the diagram, SS is the supply curve before tax, $S_t S_t$ is the supply curve after tax.

* Per unit tax is the vertical distance between the two supply curves. ($W-T$)

* consumer burden: part of the tax that has been passed to consumers ($QRWU$)

* producer burden :- $PQUT$



Which area represents that part of the tax revenue paid by producers?

A ORWY
Total Revenue

B PQUT
Producer burden.

C PRWT
Total tax revenue

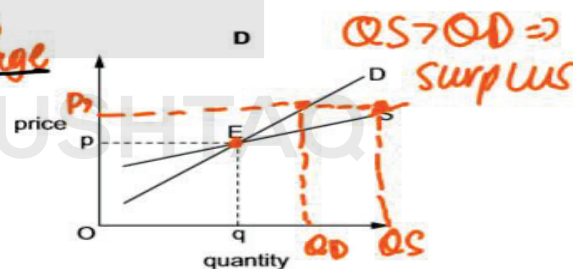
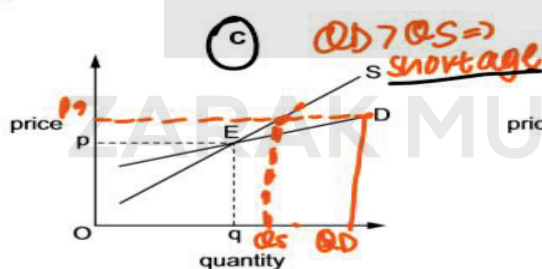
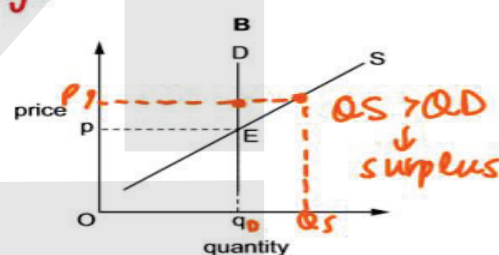
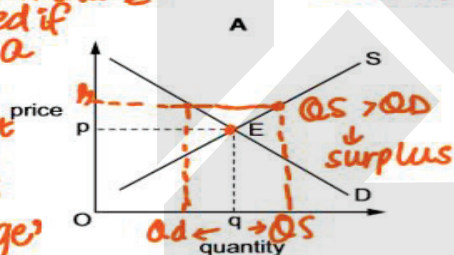
D QRWU
Consumer burden.

12-C:

- 12 In which market would equilibrium not be achieved at point E if price were above O_p ?

* Equilibrium will be achieved if there is a surplus?

* It would not be achieved if there is a shortage?



13-A:

A-Since now the entry to the garden is at zero-charge or in other words, the price has fallen to zero in return of the government's attempts to provide grants to the producers to improve the condition of the garden, the consumer surplus i.e. the difference the maximum total amount a consumer is willing to pay and the price that he actually pays would increase, thus making this correct.

B: As a result of government's attempts to provide grants, the supply curve would shift rightwards, and when equilibrium price falls to zero, the quantity demanded extends, therefore making this option incorrect.

C: The supply curve would not be perfectly elastic, had this been the case prices would have remained unchanged instead of falling.

D: There will be an equilibrium position, where the market forces of demand and supply intersect.

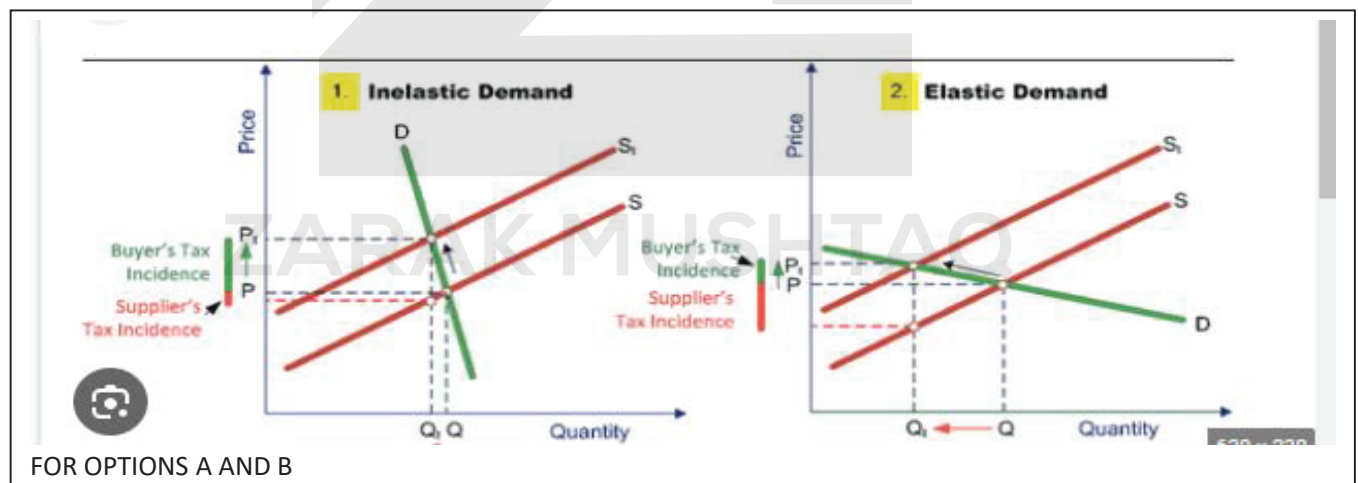
14-C:

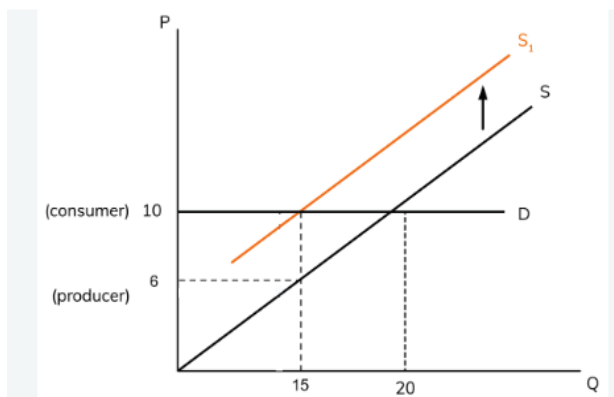
A: The minimum wage helped the extremely low paid more, this is because, the percentage of those who are extremely low paid has decreased by more, as compared to those on low pay, whose percentage has decreased by a relatively smaller percentage.

B: Based on the data provided in percentages, we cannot deduce whether the "numbers" of those on low pay and extremely low-pay have decreased. For this, we need to know absolute figures about people who actually are in the bracket of low pay and extremely low pay, before and after the minimum wage legislation.

C: This is correct to say that the minimum wage reversed the trend in low pay as before the legislation, the percentage of those on low pay increased, but after the minimum wage legislation, the percentage of them decreased, although the reduction has been by a relatively smaller percentage.

D: We cannot comment upon this, since we have data provided in percentages, on those who are in the bracket of low pay and extremely low pay





(Reference: option C)

15-B:

A: As can be seen in the diagram above, when the demand is elastic, the producer burden will be greater than the consumer burden, because the producer can not afford to pass the majority of the burden to consumers in form of higher prices, therefore, the impact on equilibrium prices would not be the greatest.

B: As can be seen in the diagram above, when the demand is inelastic, the consumer burden will be greater than the producer burden, because the producer can afford to pass the majority of the burden to consumers in form of higher prices, therefore, the impact on equilibrium prices would be the greatest, **as there will be a rise in the equilibrium prices by a relatively higher percentage. This is why, this is correct.**

C: As can be seen above, in case of a product with a perfectly elastic demand, the producers will bear the complete burden of the tax and the price will remain unchanged. This is because, if in such a case, where by the market structure is perfectly competitive, if the producer raised prices on account of taxation, the qty demanded and in turn total revenue would have fallen to zero.

D: In case of a unitary elastic demand, the greatest burden of taxation would not have to be borne by the consumers, because the producers are aware of the fact that the percentage rise in price will bring a contraction in qty demanded by an equal percentage.

16-B: The effect of a transfer payment, such as the one provided by Australia in 2013, depends on its impact on the distribution of income across the population.

Option B, progressive, is the correct answer because a transfer payment that is provided to individuals with lower incomes tends to reduce income inequality. By providing a transfer payment of 900 to those who earned less than 100,000 per year, Australia is essentially redistributing income from higher-income earners to lower-income earners. This means that those who earn less than 100,000 per year will have a higher percentage increase in their income due to the transfer payment than those who earn more than 100,000 per year.

Option A, neutral, would suggest that the transfer payment has no impact on income distribution, but this is not the case. The transfer payment is specifically targeted towards those who earn less than 100,000 per year, which means that it has a redistributive effect.

Option C, proportional, would suggest that the transfer payment has the same impact on income distribution across all income groups. However, as explained above, the transfer payment is specifically targeted towards those who earn less than 100,000 per year, which means that it has a greater impact on income distribution for lower-income earners.

-Option D, regressive, would suggest that the transfer payment has a greater impact on income distribution for higher-income earners. However, this is not the case as the transfer payment is targeted towards those who earn less than 100,000 per year, which means that it has a greater impact on income distribution for lower-income earners.

17-C:

Government wishes to fix price at OP_2 that is above the equilibrium price

represents the minimum price that is a legally imposed price floor showing that at least this level of price must be maintained, prices can rise but not fall from this level to continue benefitting producers such as farmers, whose incomes are uncertain due to climatic hazards and natural disasters.

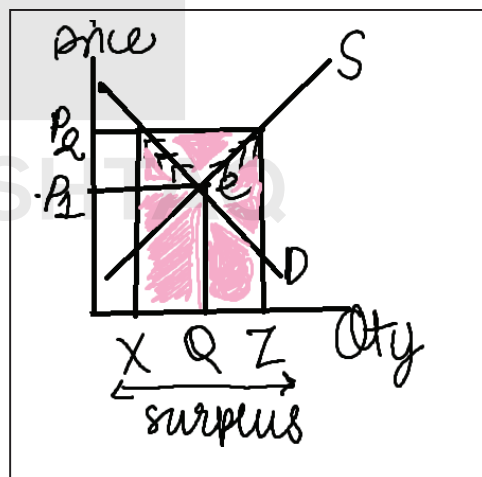
As a result of fixing minimum price, quantity supplied extends from Q to Z whereas quantity demanded contracts from Q to X , thereby creating a surplus shown from X to Z .

a) OZ does not represent the area of surplus

b) XY does not represent the area of surplus

c) XZ represents the area of surplus, thus representing the quantity of wheat that the government must buy through the buffer stock scheme to maintain incomes of producers such as farmers thus making it the answer

d) YZ does not represent the area of surplus



18-D:

- A- After privatization, it is most likely that bus fares will increase, since the private producers operate with the objective of "profit maximization"
- B- The pool of investment in bus-service companies by the private sector will increase, as compared to if they were owned by the government, thus making this incorrect
- C- Yes, now because of the policy of de-regulation, that is being implemented by the government, in case of which rules and regulations and barriers to entry and exit have been relaxed, more private sector firms will be encouraged to enter.
- D- This is not likely to occur as loss making services would not be retained, they might be discontinued because mainly private sector producers operate with the objective of profit maximization, as compared to a public sector firm that operates with the objective of social welfare. This is why, key D becomes correct.

19-C:

A reduction in income tax will increase the disposable incomes of consumers, and because of a rise in purchasing powers, the consumption expenditure and in turn Aggregate demand will increase.

Similarly, a rise in the costs of production, as a result of imposition of "sales tax", will lead to a fall in the Aggregate supply.

Because of a rise in Aggregate demand and a fall in Aggregate supply, a new equilibrium point will be achieved from X TO C.

20-B:

Real GDP declined in year 2012 compared to other years. This is shown below:

$$\text{Real GDP} = \frac{\text{Nominal GDP}}{\text{GDP deflator}} \times 100$$

* 2010 = $\frac{200}{100} \times 100 = 200$	* 2013 = $\frac{300}{149} \times 100 = 201.34$
* 2011 = $\frac{220}{109} \times 100 = 201.83$	* 2014 = $\frac{320}{154} \times 100 = 207.79$
* 2012 = $\frac{240}{125} \times 100 = 192$	

21-B:

A: An increase in average changes in prices as represented through an increase in CPI does not necessarily represent an increase in consumer expenditure. Consumer expenditures may decrease if the demand for most of the goods is elastic, as rises in prices by even smaller percentages may contract quantity demanded of individuals by a relatively higher percentage.

B: An increase in CPI (Consumer Price Index) means that there has been an increase in average change in prices over time. CPI is used to measure inflation, and tracks **changes in costs of living** over a given period of time. An increase in CPI represents inflation and this means that there has been an **increase in the cost of living over time**, thus making this correct.

C: Even if there is inflation in the economy, standard of living may not decline if the rate of increase of nominal income (for e.g. : 20%) is greater than the rate of inflation (for eg: 10%). In such a case, real incomes increase by 10% representing that standard of living has risen. Even in a period of mild inflation in the short-run, when the economy experiences a multiplier effect in terms of an increase in output, income and employment, standard of living may increase, thus making this incorrect.

D: A decrease in real incomes may not occur if the rate of rise of nominal income is greater than the rate of inflation. Moreover, in order for disposable incomes to have fallen, information about income taxes should be present which is currently missing, thus making this incorrect.

22-D:

Fundamental disequilibrium represents a “persistent” or a “prolonged issue” that requires attention. It can be either a surplus or a deficit.

A. Alternate annual deficits and surpluses in the current account: This option describes a situation where a country's current account balance alternates between deficits (importing more than exporting) and surpluses (exporting more than importing) over the years. While it is an indication of imbalances in trade, it does not necessarily imply a fundamental balance of payments disequilibrium. These fluctuations could be part of temporary shocks. A fundamental balance of payments disequilibrium refers to a persistent problem in a country's external accounts.

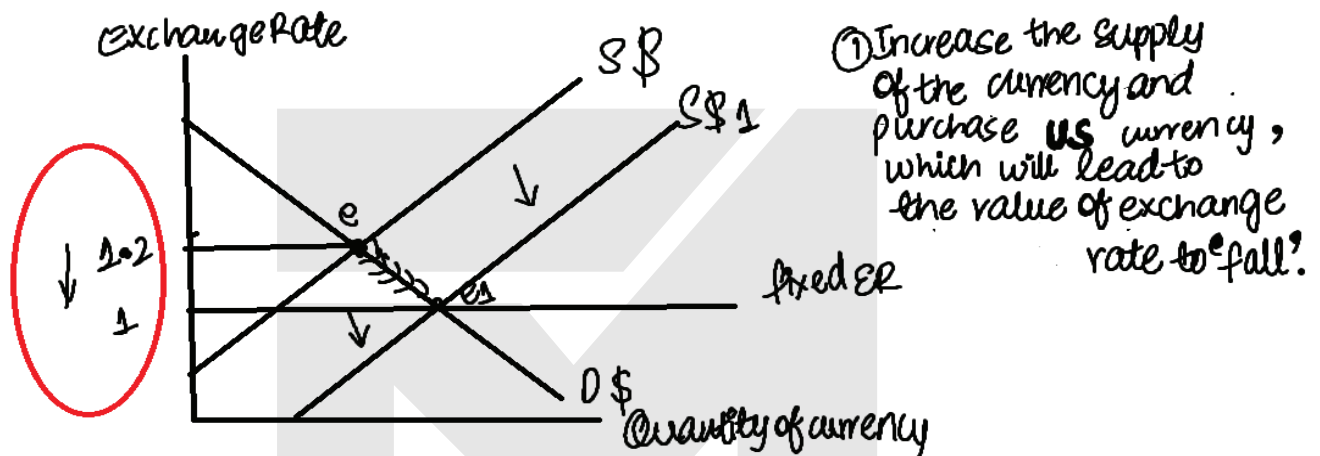
B. A continually growing balancing item: The balancing item in the balance of payments accounts ensures that the sum of all sub-accounts (current account, capital account, financial account) equals zero, as per the accounting principle. If this balancing item continually grows, it suggests an **issue with the accuracy of the data or a problem with the accounting entries**. However, it does not indicate a fundamental balance of payments disequilibrium. It is more likely a technical or statistical issue.

C. A large short-term outflow of foreign direct investment: A short-term outflow of foreign direct investment (FDI) may indicate changes in investment patterns. While it can affect the balance of payments and capital account, a single **short-term** outflow does not necessarily represent a fundamental imbalance. **It is a short-term issue rather than it being a long-term issue.**

D. A persistent rise in foreign currency reserves: This option correctly identifies a country with a fundamental balance of payments disequilibrium. When a country experiences a persistent rise in foreign currency reserves over an extended period, it indicates that the country's inflows of foreign exchange (exports, capital inflows, etc.) consistently exceed its outflows (imports, capital outflows, debt

repayments, etc.). This situation may arise when a country runs a **persistent current account surplus** or **attracts significant capital inflows**, resulting in an accumulation of foreign currency reserves. This represents a long-term, sustained surplus, highlighting a **fundamental BOP disequilibrium**. This is why, this is correct.

23-B:



The diagram above explains why, key B, will be the currency.

Selling the currency or increasing the supply of currency, to purchase other currency, for example: the US currency, to gather "foreign-currency reserves" will lead to a fall in the foreign exchange rate.

This is why, option B will be correct.

24-A:

A rise in UK interest rates will lead to an increased incentive to invest in the economy, as a result of which, hot money inflows will be attracted, resulting in a rise in the "Demand for the currency", as foreign residents will have to convert their currency in the domestic currency to be able to invest in domestic banks, which will result in **a rightward shift in the demand for currency curve.**

It also has the potential to affect the supply of currency, as upon a rise in the interest earned in the country, domestic residents will choose to invest in the country, rather than investing elsewhere, resulting in **a fall in the supply of the currency.**

Here, there is only option A that shows a new equilibrium after a rise in the demand for the currency, therefore making option A correct.

25-C:

* When the 'Terms of trade' is 100 $\rightarrow$ export prices and import prices will be equal to €100.

* Export prices increased by 50% $\rightarrow$

$$\frac{\text{X prices} \times 100}{\text{M prices}} = \frac{150 \times 100}{x} = 120$$

$$\frac{15000}{120} = x$$

* $x = 125$ $\rightarrow$ Import prices rose by 25%

26-D:

26 In each country, P and Q, one person can either produce the quantity of X or the quantity of Y shown.

In which case does country P have absolute advantage in the production of Y and country Q have comparative advantage in the production of X?

	country	product X	product Y
A	P	6	7
	Q	6	9
B	P	10	8
	Q	7	9
C	P	12	6
	Q	8	4
D	P	16	15
	Q	14	8

Q has an absolute advantage in Y

Q has an absolute advantage in Y

P has an absolute advantage in Y

P has an absolute advantage in Y

① $16P:15Y$
 $1X:15/16$
 $1X:0.94$

② $14Q:8Y$
 $1X:8/14Y$
 $1X:0.57$

Q has a comparative advantage in the production of X

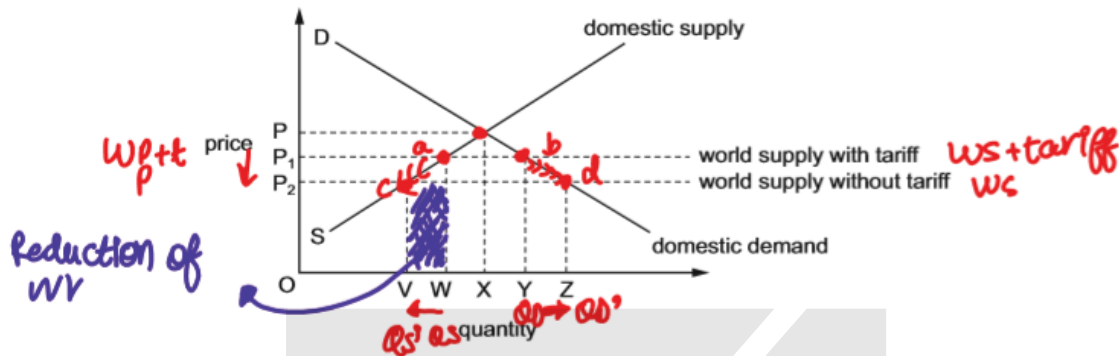
③ $P \Rightarrow 6X:7Y \Rightarrow$ has a comparative advantage in 'X'
 $1X:7/6Y$
 $1X:1.17Y$
 $Q \Rightarrow 6X:9Y$
 $1X:9/6$
 $1X:1.5Y$

$P \Rightarrow 10X:8Y$
 $1X:8/10Y$
 $1X:0.8Y$
 $Q \Rightarrow 7X:9Y$
 $1X:9/7Y$
 $1X:1.28Y$

④ $P \Rightarrow 12X:6Y$
 $1X:6/12Y$
 $1X:0.5Y$
 $Q \Rightarrow 8X:4Y$
 $1X:4/8$
 $1X:0.5Y$
 The opportunity cost ratios are the same.

27-A:

27 A government removes the tariff on a product as shown in the diagram.



What will be the change in domestic production?

- ☒ A a reduction of WV
- ☐ B a reduction of XV
- ☐ C a reduction of XW
- ☐ D a reduction of ZY

After tariff is removed, the world price that was artificially inflated through tariff falls, and because of this, producers will be signaled and dis-incentivized to contract their quantity supplied from W to V, therefore, the domestic production reduces by WV.

28-A:

Fiscal policy involves the government making use of taxation and government spending to influence Aggregate demand

A – This is correct as a budget deficit involves the government reducing tax revenue by for example: reducing the rate of direct taxation, and increasing government spending, which since would result in an increase in Aggregate demand, represents “expansionary-fiscal policy”

B and C: Monetary policy involves the government manipulating money supply, interest rate and exchange rate to influence Aggregate demand.

Increasing the exchange rate would have a contractionary effect on Aggregate demand, as a result of which, it will be known as a “contractionary monetary policy”

Moreover, increasing the money supply would result in a fall in interest rate and subsequently a rise in consumption, investment and a Balance of Trade surplus, as a

result of “depreciation”, that would have an expansionary effect on Aggregate demand, therefore, it is known as an “expansionary monetary policy”

D: Increasing the rate of direct taxation, for example: direct taxes would decrease the disposable income, leading to a fall in consumption expenditure, and in turn Aggregate demand, therefore, it is termed as a “contractionary fiscal policy”

This is why, A will be correct.

29-D:

Expenditure switching policies are aimed at switching the expenditure of domestic residents from imported goods to domestically manufactured goods.

Expenditure dampening policies are aimed at reducing the expenditure of domestic residents on imported goods.

- A- Devaluation is an example of an expenditure switching policy, but government spending cuts is an example of a contractionary fiscal policy, that is an expenditure dampening policy
- B- Government spending cuts is an example of a contractionary fiscal policy, that is an expenditure dampening policy, and a rise in interest rates is an example of a contractionary monetary policy, which is again an expenditure dampening policy.
- C- A rise in interest rates is an example of a contractionary monetary policy, which is again an expenditure dampening policy. And, tariff is an expenditure-switching policy.
- D- This is correct as both: tariff and devaluation are an example of expenditure switching policy.

30-D:

A- Increase interest rates and increase indirect taxes: This policy combination is unlikely to restore price stability. Increasing interest rates would increase the costs of borrowing , and would therefore result in a fall in investment expenditure on production, and in turn Aggregate demand. Moreover, increasing indirect taxes would decrease Aggregate supply, and therefore increase prices and would subsequently decrease real incomes , leading to consumer spending being dampened and potentially exacerbate deflationary pressures, making it an ineffective choice for restoring price stability.

B. Increase interest rates and reduce government expenditure. Raising interest rates would likely worsen deflation by discouraging borrowing and spending. Additionally,

reducing government expenditure may further dampen Aggregate demand and potentially exacerbate deflationary pressures.

C. Reduce government spending and increase income tax: Similar to option B, reducing government spending can lead to contractionary effects on the Aggregate demand, potentially worsening deflationary conditions. Additionally, increasing income tax would reduce consumers' disposable income and dampen spending, which could further contribute to deflation.

D. Reduce interest rates and increase government expenditure: By reducing interest rates, borrowing becomes more affordable, encouraging businesses to invest. This can help stimulate Aggregate demand and potentially mitigate deflationary pressures. Additionally, increasing government expenditure, particularly on infrastructure projects or public investments, can boost Aggregate demand, thus making this correct



ZARAK MUSHTAQ